Analysis Policy Economy Productivity summit

The (startling) data that proves how the tax system helps the old

The property boom and superannuation has made older Australians richer than ever but the tax and welfare system still treats Baby Boomers like they need help.

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Australians are retiring with unprecedented levels of wealth. This wealth, primarily held in housing, superannuation and investment properties, allows retirees to draw incomes to support their retirement.

As Australians have become wealthier, we might expect government spending on social safety nets for older Australians to fall. Instead, we have seen these programs grow in real, per-person terms.

The net result is that older Australians have much higher incomes than previous generations of retirees.

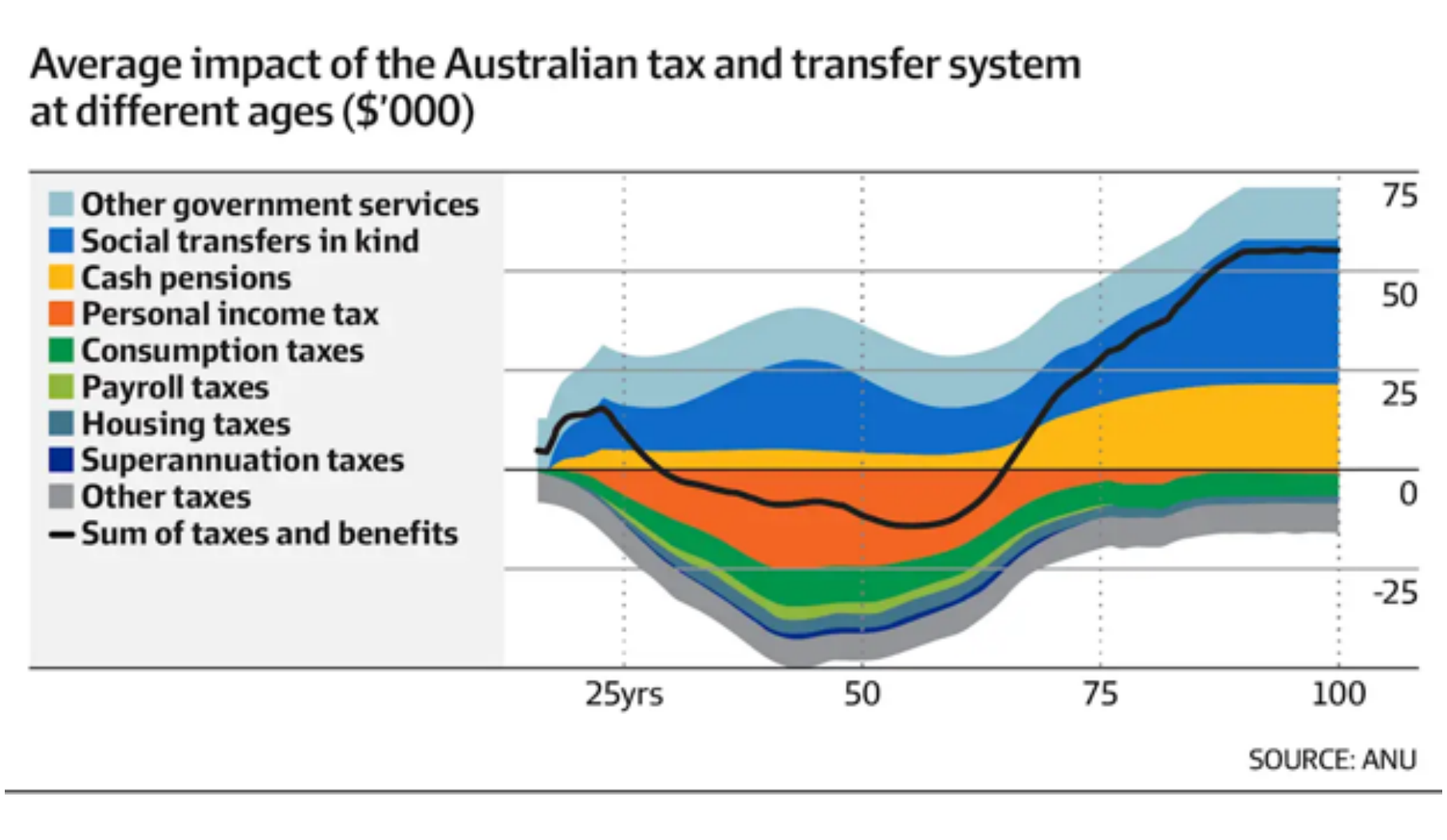
Twenty-five years ago, the average 75-year-old's post-tax and transfer income was little more than 75 per cent of an average Australian income.

Today it equals the average Australian income. Older Australians also enjoy a post-tax income one-third higher than Australians aged 18-30.

This astonishing fact has important implications for the efficiency and sustainability of our tax and transfer system.

The evidence

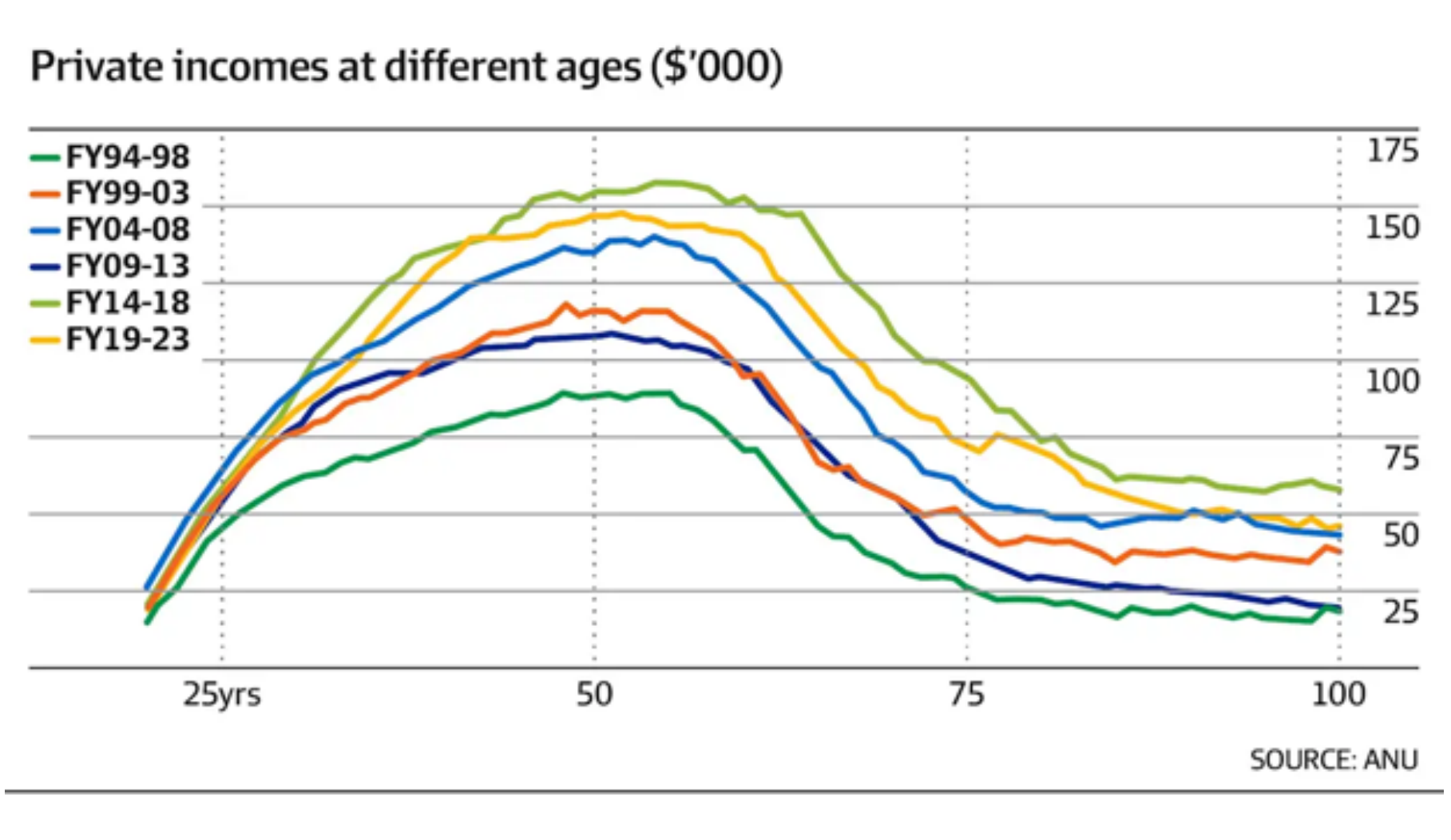
The tax and transfer system treats people differently at different ages. Individuals receive benefits from the state as a child, then contribute more in tax than they receive in transfers while at their most productive, before once again enjoying an excess of transfers later in life, as their productivity declines and they enjoy retirement. This lifecycle pattern is shown here.


Average impact of the Australian tax and transfer system at different ages ($'000)

SOURCE: ANU

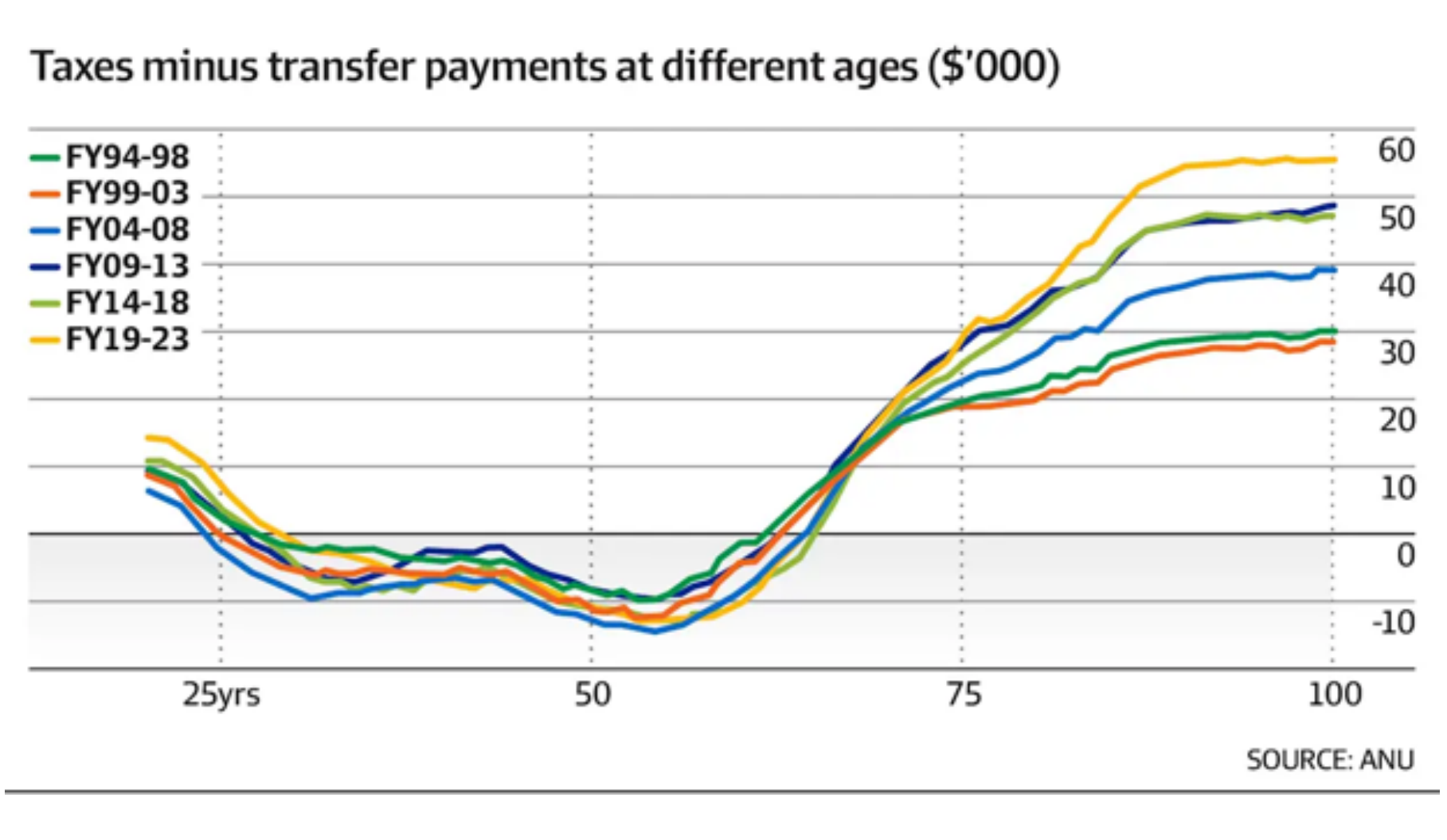
In our research, we first measure how the lifecycle incidence of private income has changed in the past three decades. This calculation includes income from all sources, including capital gains from housing and superannuation.

It shows that earnings have grown at all ages and our peak earnings continue to occur in our 50s. It also shows that Australians are earning more passive income in retirement today than in earlier periods.


Private incomes at different ages ($'000)

SOURCE: ANU

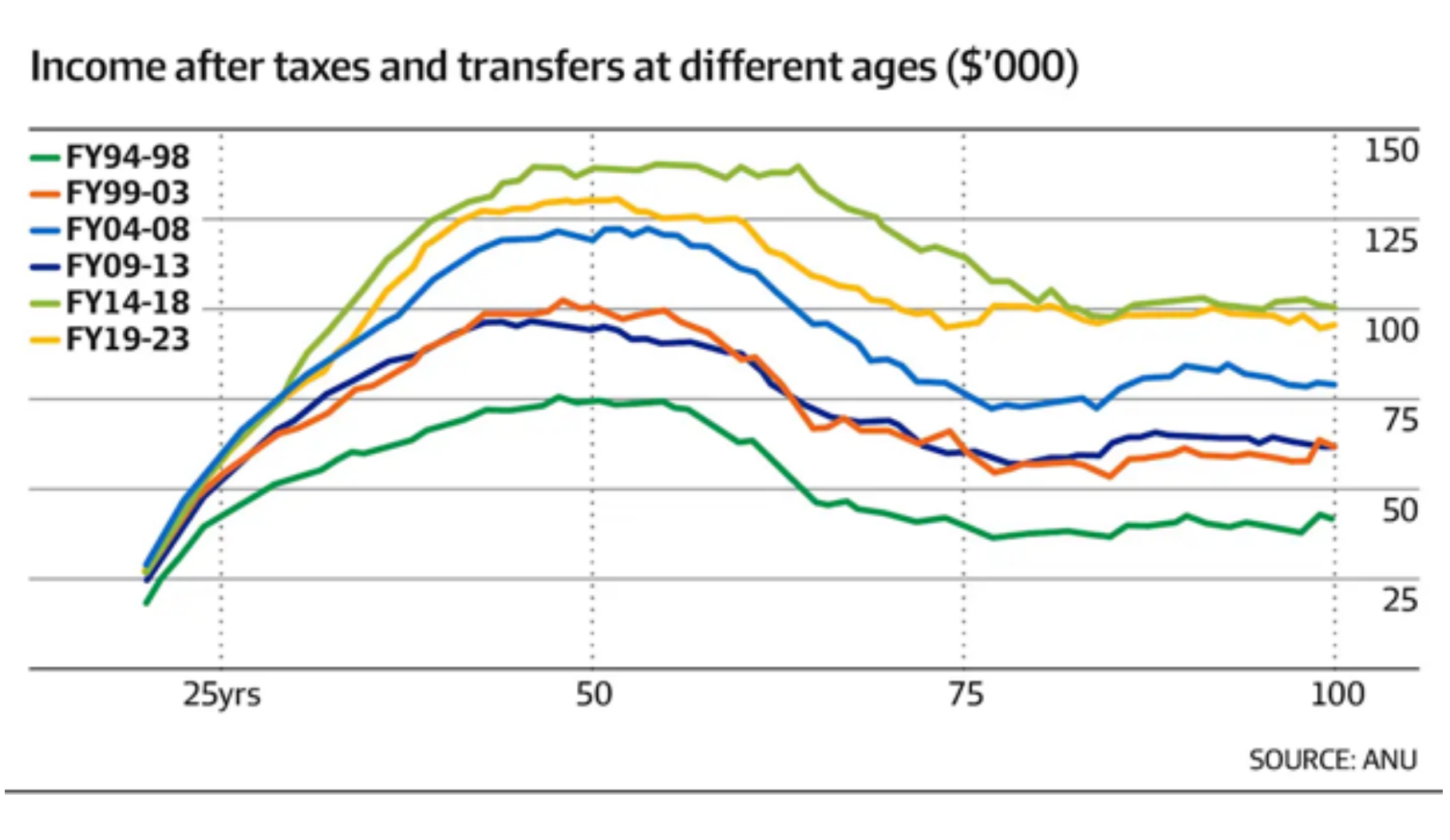
Finally, we can add together the private income with the net impact of the tax system to find the average post-tax income of Australians at different ages.


Taxes minus transfer payments at different ages ($'000)

SOURCE: ANU

This shows that the nature of the tax and transfer system has fundamentally changed in the past three decades. In the earlier periods of our study, older Australians earned relatively little income, while the tax and transfer system provided income through the aged pension and in-kind support to give them an income similar to those at the beginning of their working lives.

In contrast, today's average 60+ Australian has a substantially higher private income and receives substantially more from the tax and transfer system, leaving them with the post-tax income of an average 40-year-old (without the pressures of saving for the future or supporting a growing family). The intergenerational contract has lost its balance.


Income after taxes and transfers at different ages ($'000)

SOURCE: ANU

Five implications

The evidence is stark: the Australian government's relative expenditure on older Australians has increased significantly in recent decades, funded by those of working age.

This significant change in the nature of the Australian tax and transfer system and the age profile of post-tax and transfers income distribution has several and serious implications for the future of Australia, of which we highlight five: inter-generational equity; broader tax and transfer design (including lifetime income smoothing); housing policy; and budget sustainability.

1. Rising intergenerational inequity

As Australian retirees have accumulated significant wealth and associated capital income, the Australian tax and transfer system has not adjusted. It has instead increased support to this cohort.

As a result, Australians over the age of 60 now enjoy a post-tax income similar to that of mid-career working age Australians and much higher than Australians aged 18-30.

If the primary goal of redistribution through the tax and transfer system is to reduce variation in access to economic resources across the population (in simple terms, "taking from the well-off and giving to the needy"), then current system violates this principle: redistribution results in higher average income among older Australians than among younger cohorts.

The imbalance is even worse when two other factors are taken into account.

First, younger Australians need more income to build up assets (e.g. paying for a home): older, "asset rich" Australians require far less income to maintain equivalent standards.

Second, our research doesn't account for the costs of raising children. In fact, by including transfer payments in the income of child-raising Australians (which only partially account for associated costs), it disguises that additional and large contribution to imbalance.

2. One third of income is currently untaxed

Australia's tax and transfer system design focuses primarily on personal and corporate income taxation, placing far less emphasis on income from savings. As a consequence, "rational" economic behaviour has increasingly shifted wealth into forms subject to little or no taxation, to the point that only about two-thirds of income is still captured by the tax system.

The absence or restricted nature of taxation on income generated through owner-occupied capital gains, superannuation, and imputed rent, coupled with the increase in transfers to older Australians, leaves government with little option but to raise further revenue from those generating taxable income.

As it stands, that is from working age Australians, in particular by leveraging "bracket creep".

Government should implement taxation policy changes to broaden the tax base and capture for taxation the one third of total income, overwhelming accruing to older Australians, that is currently untaxed and as a consequence rapidly growing.

3. Older people are dying with big super balances

Governments often choose to support individuals to even out the amount of income they have throughout their life. This implies policy that will tax citizens most highly when they have the means to pay, and transfer to citizens more support when they most need it.

Economic Reform Roundtable agenda
August 19-21, 2025

Day one: Resilience

Opening address and remarks
- Anthony Albanese, Prime Minister
- Jim Chalmers, Treasurer

Presentation: Some perspectives on productivity trends
- Michele Bullock, RBA governor

Session 1: International risks, opportunities and trade
- Heather Smith, president, Australian Institute of International Affairs
- David Jochinke, president, National Farmers' Federation
- Shiro Armstrong, Australian National University

Session 2: Skills attraction, development and mobility
- Barney Glover, commissioner of Jobs and Skills Australia
- Jennifer Westacott, chancellor, Western Sydney University
- Martin Parkinson, chancellor, Macquarie University

Session 3: Capital attraction and business investment
- Mary Delahunty, CEO, Association of Superannuation Funds of Australia
- Rebecca Mikula-Wright, CEO, Investor Group on Climate Change and Asia Investor Group on Climate Change
- Paul Schroder, chief executive, AustralianSuper
- Shemara Wikramanayake, managing director and CEO, Macquarie Group

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Failure to implement such policy in Australia is evident from the difficulty younger Australians face buying a home and raising a family (while contributing 12.5 per cent in superannuation), and from the older Australians enjoying, unencumbered, similar levels of income (and often dying with significant superannuation balances).

4. Housing price rises benefit older people

Increases in house prices over the past decades have increased the wealth of older Australians, generating substantial growth in private income in the form of both capital gains and imputed rent.

This income has come at the expense of younger Australians and migrants buying into the housing market, effectively keeping them poorer for longer (potentially a lifetime longer).

Addressable government policy is responsible for much of this inequity:

- Preferential tax treatment of housing increases demand for this asset class and pushes up prices.
- Zoning and planning regulations limiting new housing supply contribute around 40 per cent to the price of houses in Sydney and Melbourne (and a quarter of all land within 10km of Sydney's CBD is subject to heritage protections).
- Policies that discourage older Australians from downsizing include: capital gains exemption for owner-occupied housing; means test exemptions for owner-occupied housing; rates and utilities subsidies for older Australians; ageing in place programs; the lack of a broad-based property tax; and stamp duty.

Therefore, to the extent that housing prices are driven by government policies that restrict land supply, these policies should be reversed as a matter of urgency, generating large equity and efficiency gains.

5. The budget is not sustainable

The current tax and transfer system, with its growing obligations to the growing cohort of older Australians and shrinking resources from which to meet those obligations, is spiralling down and unsustainable.

As the government's obligations to older Australians (in pensions, aged and health care benefits, etc) increase relative to GDP, government will need to increase taxation on the productive sectors of the economy (most obviously through bracket creep).

Postponed childbearing, exit from the workforce and other consequences will reduce the relative size of the economy's productive sector, ultimately exacerbating the problem to the point of disaster.

Clearly, policy must address this downward spiral sooner than later.

The authors are affiliated with the Tax and Transfer Policy Institute at ANU. Robert Breunig is taking part in the federal government's productivity summit.